

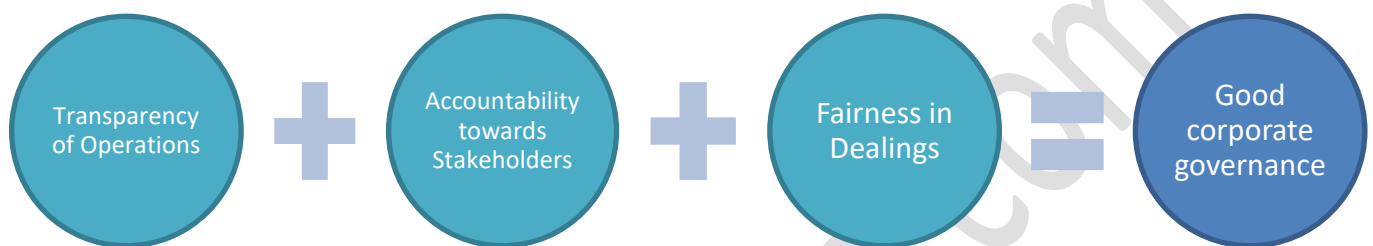


Study Notes

Corporate Governance - Introduction

Meaning

- Corporate Governance can be defined as the relationship between the *shareholders, stakeholders, and the organization's management*.
- **Policies and procedures** a company implements to control and protect the interests of internal and external business stakeholders.
- The need to have Corporate Governance is to maintain financial and operational discipline.
- And running the business with **ethics, integrity, transparency and fairness**.



There are various theories of corporate governance which addressed the challenges of governance of firms and companies from time to time. The most common theory of corporate governance include Shareholder (or agency theory) and Stakeholder theory.

- **Shareholder theory** is narrow in its approach and based on self-interest. As per this theory, the directors of company are hired to act as agents of shareholders and perform in the best interest of shareholders.
- On the other hand, the **stakeholder theory** of corporate governance focuses on the effect of corporate activity on all identifiable stakeholders of the corporation. This theory posits that corporate managers (officers and directors) should take into consideration the interests of each stakeholder in its governance process, and not the shareholders alone.

The stakeholder theory of corporate governance has developed over the years and is widely accepted and also included as part of the law.

Stakeholder Theory

This theory looks further than the traditional members of the corporation (managers, directors, and shareholders) and also focuses on the interests of any third party that has some level of dependence upon the corporation. Stakeholders are generally divided into internal and external stakeholders.

- Internal Stakeholders - the shareholders and the corporate directors and employees, who are actually involved in corporate governance process
- External Stakeholders - May include creditors, lenders, auditors, customers, suppliers, government agencies, and the community at large.

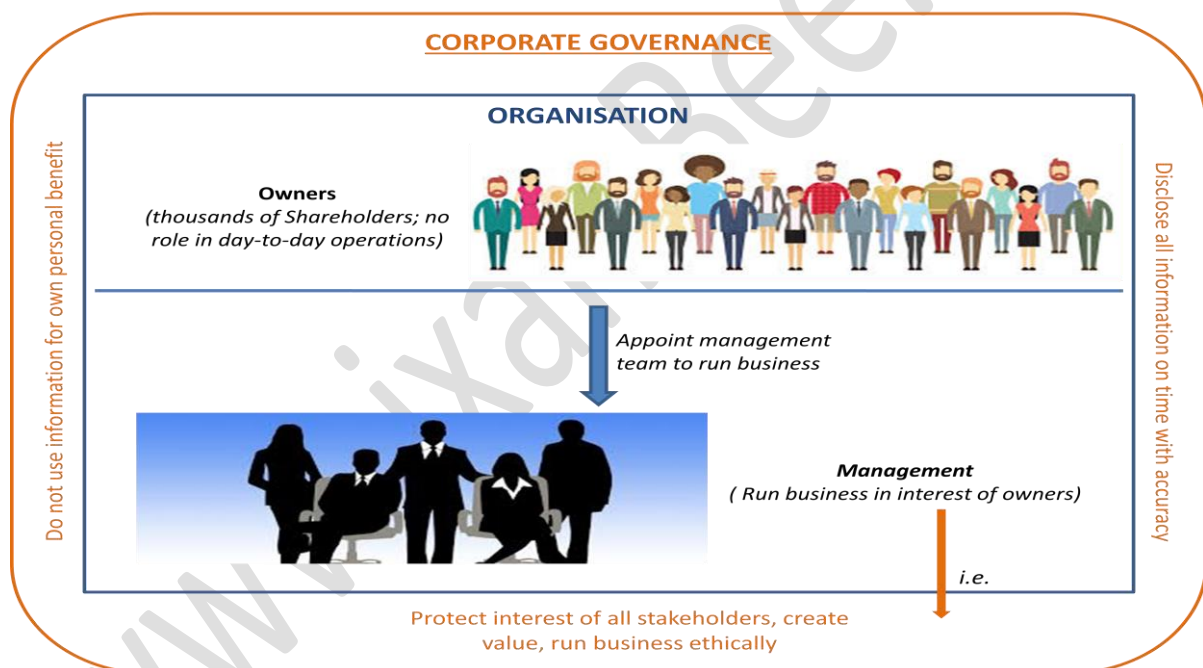
Key to the stakeholder theory is the realization that all stakeholders engage in some manner with the corporation with the hope or expectation that the corporation will deliver the type of value desired or expected. The benefits may include dividends, salary, bonuses, additional orders, new jobs, tax revenue, etc.

Need for corporate governance?

The need for Corporate Governance arises because the owners of the company and the people who manage it are different.

The possibility of keeping the interest of the company secondary over its own personal gains is high.

1. **Separation of ownership and management:** The shareholders of the company are the true owners of the company but they are also fragmented and wide spread in nature. So the shareholders appoint management team who is responsible for the day – to – day transactions of the company. The company also has a Board of Directors that ensure the company is run in an ethical manner keeping in mind the interest of all the stakeholders. They ensure that all information is presented honestly and transparently and no misuse of information for personal interest is done.



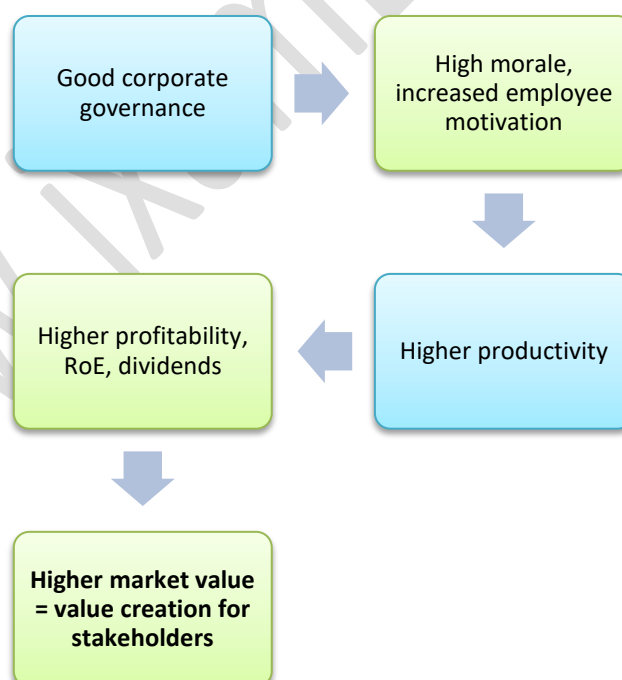
2. **Protect interest of Minority shareholders:** Amongst the owners of the company or to say shareholders of the company too, the right of the say in the decision making depends on the number of the shares held. Various decisions are taken based on majority votes which may sometimes not lead to proper representation of minority shareholders' interest. The need to protect Minority shareholders against issues like the disproportionate influence over decisions, extending favors to the group companies or relatives of the management, generous directors remuneration etc., gives rise to the need of corporate governance in a company.



3. Improved financial performance

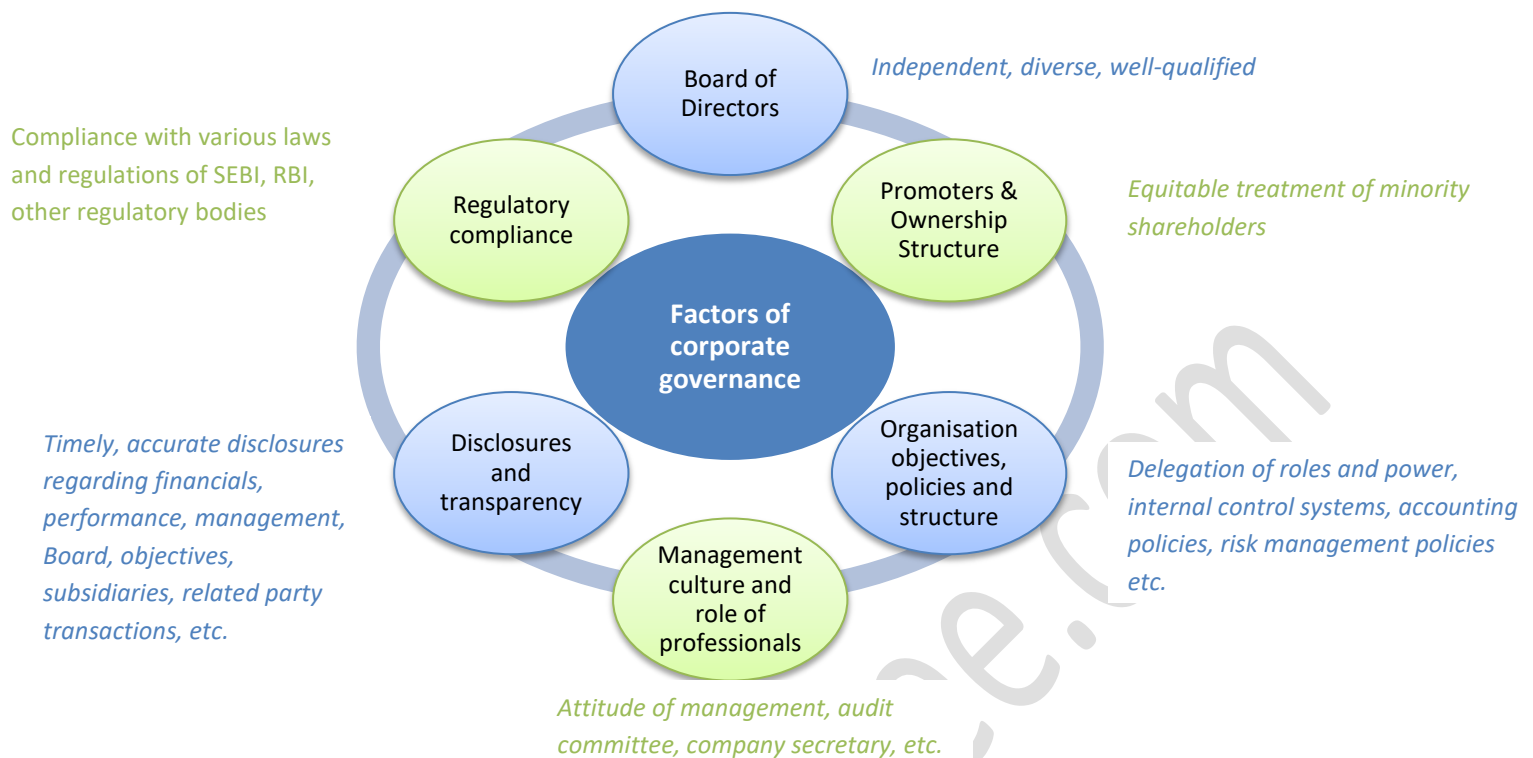
A lack of corporate governance can lead to loss, corruption, fraud, not only to the corporation, but to the society, as a whole.

Good corporate governance, increases trust, morale and motivation of employees in the organization. This leads to higher productivity and commitment of the employees towards achievement of organizational goals. This translates into better financial performance like higher profitability and returns which has a positive impact on the market value of the company.



Thus corporate governance management is also designed to limit risk and eliminate corrosive elements within an organization

Factors affecting Corporate Governance



❖ Board of Directors:

- Competency of board of directors for making decisions in the shareholders' interests, board should have required skills and well aware of its responsibilities
- Independent and well diversified directors on board ensure that company's policies, decisions and performance are in interest of all the stakeholders.

❖ Promoters & Ownership Structure:

- Ownership structure in the hands of few leads to biased decisions which may not turn out to be in the interest of the company.
- Equitable treatment of minority shareholders is a must.

❖ Policies & Structure of Organization

- Policies and Law of the Country in which company operates, shareholders rights mentioned in company law of the country, bankruptcy laws, accounting policies, risk management policies etc. impact governance
- Delegation of roles and power to each employee of the company and especially top management of the company.

❖ Management role and Audit Committee

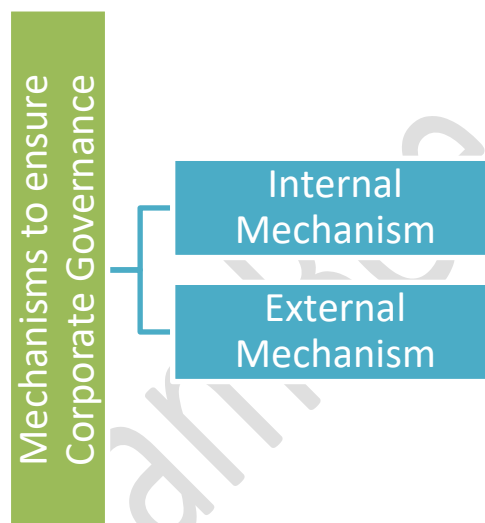
- Remuneration of directors should be in a way to incentivize them enough to work diligently.
- Effective financial reporting strengthens internal audit function and reduces the opportunity for fraud. It is a link with the external auditors.

❖ Disclosures and Transparency

- Timely and accurate disclosures regarding financials, performance, management, Board of Directors appointed, objectives and visions of the company, subsidiaries, related party transactions, etc. should be disclosed.

❖ Regulatory Compliance

- Compliance with whistle blower policy as per Clause 49 of the Listing Agreement
- Addressing Grievances of Shareholders: SEBI's code for CG stipulates creation of Shareholder's committee and similarly, Companies Act, 2013 mandates constitution of Shareholders Relationship Committee to address such issues

Mechanisms of Corporate Governance**Internal Mechanism:**

- ✓ The sets of controls for a corporation should foremost come from its internal procedures / mechanisms.
- ✓ These controls monitor the progress and activities of the organization and take corrective actions when the business goes off track.
- ✓ The objectives include
 - Ownership structure.
 - Right mix of independent and non – independent directors.
 - Independent internal audits.
 - Segregation of control and policy development.
- ✓ **Board of Directors** - There are three types of directors: internal, external and independent directors.
 - Internal directors work within the organization and include promoter directors and whole time directors
 - External director's work from outside business and may be on Boards of several companies. They may be part time directors or Nominee directors

- Independent directors do not have any fiduciary relation with the company and present an objective and independent view in decision making

A right mix of these directors maintain business performance on track.

- ✓ **Committees** - It depends on the country's laws and regulations whether the creation of committees should be mandatory for the firm or not. For example, In India the Companies Act, 2013 mandates an Audit committee for certain types of companies. Other Committees required include the Nomination and Remuneration committee and Stakeholder Relationship Committee, Small shareholders committee, CSR committee, etc.
- ✓ **Financial Statements and Auditors** - Every company needs to present their financial reports on the quarterly and annual basis and get them checked with the auditors. The real picture presented by the auditors reveals the true financial picture of the firm which is the most vital information for the parties involved with the firm either directly or indirectly.
- ✓ **Ownership Structure** - This is another means of controlling the management part of the company. This way a business can maintain its best monitoring and controlling system for the better performance of all the functioning of the business firm.

External mechanism:

Internal mechanism fall short while performing the best for the company. This time external factors play a vital role in controlling the corporate governance mechanism of the business firm

- ✓ External control mechanisms serve the objectives of entities such as regulators, governments, trade unions and financial institutions.
- ✓ These objectives include adequate debt management and legal compliance.
- ✓ Example - Forms of union contracts or regulatory guidelines.
- ✓ Audited financial statement and the accompanying auditor's report helps internal as well as external stakeholders and regulators determine the financial performance of the corporation
- ✓ Financial Markets too plays an important role. There is a direct relation between the market value of the firm and the efficiency of the managers
- ✓ Regulatory guidelines like Clause 49 of the listing agreement by SEBI and Companies Act, 2013 by MCA forces companies to comply with corporate governance rules.

Corporate Social Responsibility (CSR)

- **Corporate Social Responsibility (CSR)** - Refers to practices and policies undertaken by corporations that are intended to have a positive influence on the world.
- The key idea behind CSR is for corporations to pursue other pro-social objectives, in addition to maximizing profits.
- Examples of common CSR objectives include minimizing environmental externalities, promoting volunteerism among company employees, and donating to charity.

The **four** types of corporate responsibility are: environmental, human rights, philanthropic and economic.

1. **Corporate Environmental Responsibility:**

Environmentally responsible companies need to analyze their processes and voluntarily do everything in their power to reduce the environmental impact – especially when it comes to waste disposal and carbon footprints. Global warming poses a real threat, and corporations bear a large part of the blame.

2. **Corporate Human Rights Responsibility:**

Human rights responsibility for companies usually involves enacting fair labor practices, condemning child labor and establishing fair trade practices.

Many companies are beginning to end business relationships with companies that use child labor. Disney, Mattel and Walmart are a few companies that came under intense scrutiny after it was revealed that the factory that produces their toys uses child labor.

3. **Corporate Philanthropic Responsibility:**

Corporate philanthropic responsibility typically involves making investments in the local community, whether it is for educational programs, scholarship programs, health initiatives or supporting notable causes in general.

4. **Corporate Economic Responsibility:**

The fact remains that if the companies do not make profit they will not survive. However, time today requires that profits should not come at the expense of ethics. Unethical practices may benefit a company in the short term, but their long-term effects can be disastrous. The 2008 financial crisis is an example of by a few companies creating the worst financial crisis since the Great Depression.

CSR as per Companies Act 2013

The CSR provisions are covered under the **Section 135** and **Schedule VII** of the Companies Act, 2013.

As per the provisions of this section, a Company having

- Net-worth of Rs.500 crore or more, or
- Turnover of Rs.1000 crore or more or
- net profit of Rs.5 crore or more

in previous financial year, should:

- **spend at least 2% of the average net profits** of three immediately preceding years on CSR activities

In case the company do not fully spend the funds of CSR	In case the company spends in excess of CSR requirement
Company must disclose the reasons for non-spending in their annual report. Any unspent annual CSR funds must be transferred to one of the funds under Schedule 7 of the Act (e.g., PM Relief Fund) within six months of the financial year. However, if the CSR funds are committed to certain ongoing projects, then the unspent funds will have to be transferred to an Unspent CSR Account within 30 days of the end of the financial year, and spent within three years. Any funds remaining unspent after three years will have to be transferred to one of the funds under Schedule 7 of the Act. If a company is in default in complying with these provisions, ○ the company shall be liable to a penalty of twice the amount required to be transferred by the company to the Fund specified in Schedule VII or the Unspent Corporate Social Responsibility Account, as the case may be, or one crore rupees, whichever is less, and ○ every officer of the company who is in default shall be liable to a penalty of one-tenth of the amount required to be transferred by the company to such Fund specified in Schedule VII, or the Unspent Corporate Social Responsibility Account, as the case may be, or two lakh rupees, whichever is less.	companies which spend any amount in excess of their CSR obligation in a financial year can set off the excess amount towards their CSR obligations in subsequent financial years

- **Constitute a CSR Committee** (consisting of 3 or more directors of which at least 1 is independent director) and

Note - *Where the amount to be spent by a company on CSR activity does not exceed Rs.50 lakh, the requirement of constitution of the CSR Committee shall not be applicable and the functions of such Committee will be carried out by the Board of Directors*

Functions of the CSR Committee shall,—

- formulate and recommend to the Board, a CSR Policy which shall indicate the activities to be undertaken by the company in areas or subject, specified in Schedule VII:
 - (i) eradicating extreme hunger and poverty;
 - (ii) promotion of education;
 - (iii) promoting gender equality and empowering women;
 - (iv) reducing child mortality and improving maternal health;
 - (v) combating human immunodeficiency virus, acquired immune deficiency syndrome, malaria and other diseases;
 - (vi) ensuring environmental sustainability;
 - (vii) employment enhancing vocational skills;

- (viii) social business projects;
 - (ix) contribution to the Prime Minister's National Relief Fund or any other fund set up by the Central Government or the State Governments for socio-economic development and relief and funds for the welfare of the Scheduled Castes, the Scheduled Tribes, other backward classes, minorities and women;
 - (x) such other matters as may be prescribed
- recommend the amount of expenditure to be incurred on the activities referred above
 - monitor the CSR Policy of the company from time to time.